

A Matter of Sustainability

March 2011

As financial markets mark the 2nd anniversary of the market lows set in March 2009, the sustainability of the current economic recovery is likely the most debated topic among investors and in the media. Such a debate is an insuppressible element of the financial markets and, regardless of past or present economic conditions, seldom does a reliable consensus emerge. When one does it usually presages undesirable outcomes. At Horizon, we typically leave the top-down debates to those who are far more qualified to address such matters and spend our time on bottom-up company analysis. However, on rare occasions our company-specific pursuits present us with a perspective on broader investment opportunities and risks. We offer the following observations as insight into our current investment thinking and in contrast to our current investments.

Profit Margins

The table below lists the top ten technology stocks of the NASDAQ 100, by market capitalization. As of this writing, technology stocks have an approximately 64% weight in the NASDAQ 100 and, although that may change in coming weeks, it won't be radically different. The top ten technology companies represent 44% of the total index weight, not 44% of the 64% technology weight, which shows how important they are in the index.

Also listed in the table are the net profit margins, which are based on the most recently reported earnings. The average net profit margin is roughly 25%, which is without any historical precedent whatsoever. Generally, profit margins approaching this magnitude are not sustainable for very long.

NASDAQ 100 Top 10 Technology Stocks (as of Jan-2011)

	<u>Weight (%)</u>	<u>Net Margin (%)</u>
Apple	20.4	21.2
Qualcomm	4.8	29.3
Google	4.4	29.7
Microsoft	4.0	28.2
Oracle	3.1	21.8
Cisco	2.0	18.0
Intel	1.9	26.6
Research in Motion	1.5	16.6
Baidu	1.4	46.4
eBay	<u>1.3</u>	<u>19.2</u>
Total	44.7	Average 25.7

Source: Company Reports, PowerShares

The next table depicts the top ten companies in the consumer sector of the NASDAQ 100. With one exception, Priceline.com, the profit margins in the consumer segment are far lower. With these profit margins, such companies are not likely to aggressively attract competition, so their margins are potentially more sustainable, generally speaking. Of course, they represent far smaller weights in the total index.

NASDAQ 100 Top 10 Consumer Stocks (as of Jan-2011)

	<u>Weight (%)</u>	<u>Net Margin (%)</u>
Amazon	2.6	3.1
Starbucks	1.6	9.8
Comcast	1.5	9.1
DirecTV	1.2	8.0
Priceline.com	1.1	22.3
News Corp	1.0	10.0
Bed Bath & Beyond	0.8	8.6
Wynn Resorts	0.8	N/M
Staples	0.5	4.4
Mattel	<u>0.4</u>	<u>15.4</u>
Total	11.5	Average 10.1

Source: Company Reports, PowerShares

Interestingly, the health care sector of NASDAQ, which has a fairly low weight, has some companies with extraordinarily high profit margins. Some exceed 30%, including Amgen, Celgene and Gilead Sciences. As stated previously, generally speaking, margins of that level are not sustainable.

NASDAQ 100 Top 10 Health Care Stocks (as of Jan-2011)

	<u>Weight (%)</u>	<u>Net Margin (%)</u>
Teva		
Pharmaceutical	1.9	24.7
Gilead Sciences	1.4	36.3
Celgene	1.3	30.9
Express Scripts	1.3	2.3
Amgen	1.2	32.4
Genzyme	1.2	6.8
Biogen	0.8	21.6
Life Technologies	0.5	12.1
Intuitive Surgical	0.5	25.0
Mylan	<u>0.5</u>	<u>10.6</u>
Total	10.5	Average 21.2

Source: Company Reports, PowerShares

It logically follows that if net profit margins of this magnitude are not sustainable in the long run, and these companies in the aggregate comprise a very large proportion of the market capitalization of the NASDAQ 100 then there is a reasonable likelihood of negative earnings variability in that index, a circumstance yet to be observed by many analysts.

Similarly, one can see the same phenomenon in the S&P 500 among the 50 largest market capitalization companies that outperformed the market in 2010. That group includes companies from Apple, General Electric and Chevron all the way down to DuPont. Most of the P/Es fall within a very narrow band between 11 and over 16 times earnings, with Amazon.com's P/E of 51-plus times as a notable exception.

The table below looks at the net profit margins of those very same companies. This is all before extraordinary items, but only General Electric had any meaningful extraordinary earnings. Even ignoring General Electric, the point can still be made that there are quite a few companies with very high absolute profit margins. For example, Apple, Coca-Cola, Oracle, Schlumberger, McDonald's, Occidental Petroleum and Freeport-McMoRan Copper & Gold all have the common feature of after-tax net profit margins well in excess of 20%.

50 Largest S&P500 Companies that Outperformed Index in 2010

<u>Company</u>	<u>Symbol</u>	<u>Net Profit Margins (%)</u>	<u>2010 Total Return (%)</u>
Apple, Inc.	AAPL	21.1	53.1
General Electric Co.	GE	8.8	24.3
Chevron Corp.	CVX	7.5	22.9
Wells Fargo & Co.	WFC	14.5	15.6
Coca Cola Co.	KO	21.3	19.0
Citigroup, Inc.	C	8.0	42.9
Oracle Corp.	ORCL	21.7	28.6
Schlumberger Ltd.	SLB	21.2	30.0
Philip Morris International, Inc.	PM	10.7	27.2
Verizon Communications, Inc.	VZ	3.3	23.1
ConocoPhillips	COP	6.1	38.8
McDonalds Corp.	MCD	22.0	26.9
Occidental Petroleum Corp.	OXY	24.2	22.8
The Walt Disney Co.	DIS	8.5	17.6
Amazon.com, Inc.	AMZN	3.0	33.8
Ford Motor Co.	F	5.4	67.9
Comcast Corp.	CMCSA	9.1	33.1
Caterpillar, Inc.	CAT	7.1	68.6
Kraft Foods, Inc.	KFT	5.0	20.4
The Home Depot, Inc.	HD	6.3	25.0
Freeport-McMoRan Copper & Gold, Inc.	FCX	22.6	52.6
Altria Group, Inc.	MO	17.6	33.9
U.S. Bancorp	USB	17.5	20.8
The Boeing Co.	BA	4.9	23.6
EMC Corp.	EMC	11.2	31.1
E.I. du Pont de Nemours and Co.	DD	<u>5.1</u>	54.5
	Average	12.1	

Source: Company Reports, Bloomberg

In general, a 20% profit margin for any company is an historical rarity. The table below provides these companies' peak profit margins for the last ten years, which is more interesting than looking at the average.

<u>Company</u>	<u>Symbol</u>	<u>Peak Margins (%)</u>	<u>Year Achieved</u>
Apple, Inc.	AAPL	21.5	2010
General Electric Co.	GE	13.0	2008
Chevron Corp.	CVX	8.8	2008
Wells Fargo & Co.	WFC	33.5	2004
Coca Cola Co.	KO	21.1	2006
Citigroup, Inc.	C	31.2	2003
Oracle Corp.	ORCL	26.4	2004
Schlumberger Ltd.	SLB	22.4	2007
Philip Morris International, Inc.*	PM	12.7	2006
Verizon Communications, Inc.	VZ	9.0	2004
ConocoPhillips	COP	8.2	2006
McDonald's Corp.	MCD	20.0	2009
Occidental Petroleum Corp.	OXY	27.9	2008
The Walt Disney Co.	DIS	13.2	2007
Amazon.com, Inc.	AMZN	8.5	2004
Ford Motor Co.	F	5.4	2010
Comcast Corp.	CMCSA	10.2	2009
Caterpillar, Inc.	CAT	8.5	2006
The Home Depot, Inc.	HD	7.3	2006
Kraft Foods, Inc.	KFT	11.3	2002
Freeport-McMoRan Copper & Gold, Inc.	FCX	24.1	2006
Altria Group, Inc.	MO	16.9	2006
U.S. Bancorp	USB	45.4	2004
The Boeing Co.	BA	6.1	2007
EMC Corp.	EMC	12.1	2007
E.I. du Pont de Nemours and Co.	DD	17.1	2001

**Prior to spin-off. Source: Company Reports, Bloomberg*

For many of the selected companies, the net profit margins are currently at or very close to their peaks. This point is important because, historically, when the economy emerged from a recession, the profit margins would rise along with revenues, because costs didn't necessarily rise proportionately. In today's economic environment, since companies have been very aggressive in controlling their costs, and even lowering them in many cases, one has to wonder how much, if any, margin improvement is achievable and whether analysts expect profit margins to remain at such robust levels.

Historically, low profit margins were a sign of competitive pressure. Now, there are companies that deliberately manage their businesses to have low profit margins as a means of establishing a soft barrier to entry. Amazon.com, which is a high-technology company, in a sense, operates at very low profit margins; recently at just over 3%. Historically, analysts were trained to prefer high profit margin companies, because those companies generally had more defensible markets and operated under less competitive pressure. The reverse may be true going forward.

Achieving the Speed of Light

Broadly, stocks have benefited from a number of factors over the past 50 years. One is that since the end of the Second World War, corporate taxes have generally been declining. Another is that there have been vast increases in government spending during and since the Second World War. Companies have derived benefits from that government spending, perhaps in the form of transfer payments to individuals who use that money to buy products and services, or from money spent by the government itself. Additionally, increasing profit margins have comprised a great part of the rate of return experience for these companies over the last 50 years. It's difficult to see how continued increases in profit margins and returns-on-equity could be sustainable over the long-run, particularly when faced with increased global competition. Hence, valuations may not be as reasonable as many assert.

Phrased philosophically, if the corporate tax rate were 36%, then theoretically the highest net profit margin one could achieve would be the reciprocal of that, or 64%, assuming products were produced without any raw material costs or employee expenses. Of course, that would be impossible, so net profit margins would have to be lower. Therefore, when a company has a net profit margin above 20%, it should be viewed as running at one third of the maximum that is theoretically possible. It's the economic equivalent to moving at one-third the speed of light. It's theoretically possible to move at a faster pace, but it's exceedingly difficult.

Systematic vs. Idiosyncratic

Let's conclude by contrasting investors' enthusiasm for the names mentioned above with their apparent disinterest in the companies of our most recent focus, namely, idiosyncratic companies run by exceptional owner-operators who have proven track records over extended periods. Across various industries, owner-operator companies with unpredictable earnings, complicated corporate structures and/or multi-sector exposures remain at discounted valuations despite their current and historical successes in compounding shareholder wealth. It appears investors, in the post-crisis world, believe such idiosyncratic companies pose greater risks at this stage of the economic recovery than the bellwether companies mentioned previously. Or, maybe, the exclusion of such companies from popular indexes and exchange-traded-funds (ETFs) coupled with the notable flow of funds to corresponding passive strategies is contributing to their lack of popularity. Regardless, the disparity raises the question "What are the potential systematic risks in the equity markets?" It appears to us that the U.S. business environment will be more challenging going forward than it has been in the past few decades. Hence, what may appear to be reasonable valuations for what many consider higher quality companies may not be so reasonable given they are currently operating near historic margins and returns-on-equity. To this end, we continue to favor discounted, durable businesses run by vested managements who possess both the acumen and mandate to compound shareholder wealth through a dynamic economic environment.

DISCLAIMERS

For Existing Clients of Horizon Only - Not for Prospect Use. *This information is for information purposes only. This information is intended solely to report on investment strategies as reported by Horizon Asset Management, Inc. Opinions and estimates offered constitute our judgment and are subject to change without notice, as are statements of financial market trends, which are based on current market conditions. Under no circumstances does the information contained within represent a recommendation to buy, hold or sell any security and it should not be assumed that the securities transactions or holdings discussed were or will prove to be profitable or that future investment decisions will be profitable or will equal or exceed the past investment performance of the securities listed.*

This information should not be used as a general guide to investing or as a source of any specific investment recommendations, and makes no implied or expressed recommendations concerning the manner in which an account should or would be handled, as appropriate investment strategies depend upon specific investment guidelines and objectives. This is not an offer or solicitation to any person in any jurisdiction in which such action is not authorized or to any person to whom it would be unlawful to make such offer or solicitation.

The information contained herein has been obtained from sources believed to be reliable; however, no representation is made regarding its accuracy or completeness.

No part of this material may be: a) copied, photocopied, or duplicated in any form, by any means; or b) redistributed without Horizon's prior written consent.